The World as It Is

Africa's unfinished economic transformation, and the foundations of what comes next.

In the first instalment of this series, I argued that the future remains stubbornly physical. Beneath China's new energy vehicles, humanoid robots and AI manufacturing lies an extraordinary accumulation of infrastructure, capital, institutions and industrial capability. Nowhere was this clearer than in Changzhou, the manufacturing city in Jiangsu where much of my reflection began.

Before asking what Africa might borrow from that experience, however, we ought to establish where we actually stand.

The picture is sobering.

Progress, but not transformation

Over the past two decades, the continent has made substantial advances in healthcare, telecommunications, financial inclusion and electricity access. Mobile money, perhaps our most celebrated technological innovation, has brought financial services to millions whom conventional banking struggled to reach. According to the World Bank's Global Findex 2025, 58% of adults in sub-Saharan Africa held a financial account in 2024, up from 49% in 2021. In Kenya, account ownership reached 90%.

It is worth considering why mobile money worked. Rather than waiting for an extensive network of bank branches, it leveraged infrastructure already becoming widely available: telco networks, inexpensive handsets and local agents. The leap did not come from zero infrastructure to wide financial inclusion, but from one form of infrastructure to another, more accessible one.

Economic growth has been real, too. The World Bank's October 2026 Africa Economic Update estimates that sub-Saharan Africa grew by 4.1% in 2025 and projects 4.3% in 2026.

But headline growth tells us very little about how much more productive or prosperous the average person has become. Between 2005 and 2024, real GDP per capita in sub-Saharan Africa, adjusted for inflation and purchasing power, increased by just 20%. That's less than 1% annually. At that rate, output per person would take more than seventy years to double.

Over the same period, real GDP per capita increased by 279% in China, 150% in India, 149% in Vietnam and 103% in Indonesia. China's output per person doubled approximately every decade.

There's obviously a lot more nuance behind this and Africa is not a country. Still, the aggregate picture reveals an uncomfortable truth: output, connectivity and entrepreneurship have expanded considerably faster than the productivity per person which is needed to generate sustained increases in living standards.

The arithmetic of deprivation

Nowhere is this unfinished transformation more apparent than in electricity.

According to *Tracking SDG 7: The Energy Progress Report 2026*, **563 million people in sub-Saharan Africa lacked access to electricity in 2024**, accounting for 86% of the global deficit. More troubling still, sub-Saharan Africa is the only major region where the number of rural people without electricity increased between 2010 and 2024, rising from 376 million to 447

million. Millions have gained access over that period, but demographic growth has overwhelmed much of the improvement in absolute terms. And a connection says little about whether electricity is sufficiently reliable or affordable to operate a workshop, irrigate fields or support a manufacturing business.

The investment picture is equally revealing. According to the International Energy Agency, Africa is home to around a fifth of humanity but attracts just 2% of global clean-energy investment.

Renewable-energy technologies have become dramatically cheaper, yet projects continue to encounter expensive financing, currency risk, financially distressed utilities and inadequate transmission and distribution networks.

The result is a familiar development trap. Industry requires reliable, affordable electricity to compete. But electricity infrastructure needs financially credible customers to justify investment. Without sufficient demand, power projects struggle to become bankable; without sufficient power, the industries capable of generating that demand struggle to emerge.

The fiscal room to correct this is limited. The World Bank's April 2026 Africa Economic Update estimates that public capital investment across sub-Saharan Africa remains 20% below its 2014 level. Meanwhile, external public-debt servicing has doubled from 9% of government revenue in 2017 to 18% in 2025.

That is a difficult balance sheet from which to finance an industrial revolution.

We are not short of plans

African policymakers and development institutions are fully aware of these challenges.

The AU's Agenda 2063, the African Continental Free Trade Area and successive industrialisation programmes have long recognised the importance of infrastructure, productive capacity and regional market integration. In energy, the World Bank and African Development Bank's **Mission 300** aims to connect 300 million Africans to electricity by 2030. By June 2026, the initiative reported helping connect more than 50 million people across 40 countries.

More interesting than the headline target is the programme's architecture. Its national energy compacts recognise that generation capacity alone is insufficient, combining grid and distributed-energy investments with utility reform, regional integration and efforts to mobilise private capital.

Yet questions about implementation remain. What can governments build themselves? Where can public money unlock private investment? Which industries justify coordinated intervention, and when should unsuccessful investments be abandoned?

There is no universal formula. Nor can they be separated from the political and institutional conditions under which investment happens.

Changzhou did not start with robotaxis

This brings me back to China.

In 2005, two decades before the factories and innovation centres I encountered, Changzhou was already a substantial manufacturing city. Its official statistical records report GDP of RMB 130 billion that year, with manufacturing, construction and other secondary industries accounting for 61% of its economy.

During my visit, we moved between an electric-vehicle manufacturing facility, a charging-infrastructure company, precision manufacturing operations and a battery producer. What struck me was less the individual sophistication of these businesses than the range of industrial capabilities present within one city.

But these capabilities did not emerge overnight. Changzhou had accumulated decades of experience in machinery, manufacturing, infrastructure and industrial organisation before becoming prominent in newer industries such as batteries and electric vehicles.

The contemporary industrial ecosystem was built upon an older one.

This is not to suggest that African economies in 2026 stand where Changzhou stood in 2005. The differences in geography, economic structure, fiscal resources and institutions are considerable. Nor is China the only useful comparison. Vietnam, India and Indonesia have pursued industrialisation through different combinations of public investment, private enterprise, foreign capital and participation in global value chains.

But the historical question is far more useful than asking whether Africa can replicate China's newest factories.

What had to exist before those factories became possible?

And which of those capabilities could emerging African industrial centres begin assembling now?

The next stage

AI, autonomous defence systems, new energy and industrial automation are advancing rapidly. African countries now have access to technologies that earlier generations of industrialisers could scarcely have imagined.

But access to technology is not the same thing as the capacity to use it productively.

The World Bank's October 2026 *Africa Economic Update*, devoted to AI readiness, makes this particularly clear. Africa accounts for nearly 18% of the world's population but possesses just 0.6% of global data-centre capacity. Electricity, connectivity, skills and usable local data remain formidable barriers to widespread AI adoption.

The African Union's Continental AI Strategy already recognises the importance of addressing these foundations. The challenge is translating that recognition into infrastructure and productive capabilities.

A sophisticated AI model is of limited use to a factory without reliable electricity, digitised processes or machinery capable of acting on its decisions. Cheap solar panels do not automatically produce bankable energy projects. A digital industrial policy does not eliminate the need for physical industry.

Mobile money succeeded by exploiting a more efficient technological route to performing an essential economic function. The question is whether the same mechanism can now be applied to the much heavier systems upon which industrial development depends.

That is the opportunity I want to examine: using new technologies to build the foundations of development faster, more affordably **and with fewer of the environmental and social costs incurred by earlier industrialisers.** Not to bypass those foundations altogether.

That is where the next instalment begins.